

Change in Fair Value of Earn-Out Liability

For the year ended December 31, 2022, we recognized a gain of \$10.7 million from the change in fair value of the earn-out liability as compared to a loss of \$8.9 million for the year ended December 31, 2021. The earn-out liability reflects the fair value of the earn-out shares resulting from the Business Combination.

Interest Expense

Interest expense for the year ended December 31, 2022, increased \$1.1 million, or 2.8%, to \$40.2 million compared to \$39.1 million for the year ended December 31, 2021, due to a higher effective interest rate.

Income (Loss) before Income Taxes

As a result of factors described above, we recognized net income of \$78.3 million before income taxes for the year ended December 31, 2022, compared to a net loss before income taxes of \$(16.7) million for the year ended December 31, 2021.

Income Tax Expense

We recognized income tax expense of \$4.5 million for the year ended December 31, 2022, compared to \$10.4 million for the year ended December 31, 2021. The effective tax rate for the year ended December 31, 2022, was 5.7%. The difference between the effective tax rate and the federal statutory rate in 2022 was primarily due to permanent differences resulting from the change in fair value of the warrant and earn-out liabilities. The difference between the effective tax rate for the year ended December 31, 2021, and the federal statutory rate in 2021 was due to the permanent difference resulting from the adjustment to the Simpson earn-out liability during the period and the change in fair value of the warrant and earn-out liabilities.

Net Income (Loss) and Total Comprehensive Income (Loss)

As a result of factors described above, we recognized net income of \$73.8 million for the year ended December 31, 2022, compared to a net loss of \$(27.1) million for the year ended December 31, 2021. Additionally, we recognized total comprehensive income of \$73.1 million for the year ended December 31, 2022, compared to total comprehensive loss of \$(26.7) million for the year ended December 31, 2021. Comprehensive income (loss) includes the effect of foreign currency translation and pension liability adjustments.

Year Ended December 31, 2021 Compared With Year Ended December 31, 2020

The table below presents Holley's results of operations for the years ended December 31, 2021 and 2020 (dollars in thousands):

	For the years ended December 31,			
	2021	2020	Change (\$)	Change (%)
Net sales	\$ 692,847	\$ 504,179	\$ 188,668	37.4%
Cost of goods sold	406,040	295,935	110,105	37.2%
Gross profit	286,807	208,244	78,563	37.7%
Selling, general, and administrative	116,793	70,875	45,918	64.8%
Research and development costs	28,280	23,483	4,797	20.4%
Amortization of intangible assets	13,999	11,082	2,917	26.3%
Acquisition and restructuring costs	23,668	9,743	13,925	142.9%
Related party acquisition and management fee costs	25,789	6,089	19,700	323.5%
Other operating expense	755	1,517	(762)	(50.2%)
Operating income	77,523	85,455	(7,932)	(9.3%)
Change in fair value of warrant liability	32,580	—	32,580	n/a
Change in fair value of earn-out liability	8,875	—	8,875	n/a
Loss on early extinguishment of debt	13,650	—	13,650	n/a
Interest expense	39,128	43,772	(4,644)	(10.6%)
Income (loss) before income taxes	(16,710)	41,683	(58,393)	n/a
Income tax expense	10,429	8,826	1,603	18.2%
Net income (loss)	(27,139)	32,857	(59,996)	n/a
Foreign currency translation adjustment	30	16	14	87.5%
Pension liability gain (loss)	388	(293)	681	n/a
Total comprehensive income (loss)	\$ (26,721)	\$ 32,580	\$ (59,301)	n/a

Net Sales

Net sales for the year ended December 31, 2021, increased \$188.6 million, or 37.4%, to \$692.8 million compared to \$504.2 million for the year ended December 31, 2020. Non-comparable sales associated with acquisitions contributed \$116.4 million or 23.1% of year-over-year growth. The remainder of the increase was driven by a \$37.3 million, or 25.1%, increase in electronic systems products sold and an \$18.4 million, or 18.1%, increase in mechanical systems products sold.

Cost of Goods Sold

Cost of goods sold for year ended December 31, 2021, increased \$110.1 million, or 37.2%, to \$406.0 million compared to \$295.9 million for the year ended December 31, 2020. The increase in cost of goods sold during the year ended December 31, 2021, was in line with a corresponding increase in product sales during such period.

Gross Profit and Gross Margin

Gross profit for the year ended December 31, 2021, increased \$78.5 million, or 37.7%, to \$286.8 million compared to \$208.3 million for the year ended December 31, 2020. The increase in gross profit was driven by the increase in sales. Gross margin for the year ended December 31, 2021, was 41.4% compared to a gross margin of 41.3% for the year ended December 31, 2020.

Selling, General and Administrative

Selling, general and administrative costs for the year ended December 31, 2021, increased \$45.9 million, or 64.8%, to \$116.8 million compared to \$70.9 million for the year ended December 31, 2020. When expressed as a percentage of sales, selling, general and administrative costs increased to 16.9% of sales for the year ended December 31, 2021, compared to 14.1% of sales in 2020. Recent acquisitions accounted for \$18.5 million of the increase in selling, general and administrative costs. The increase in costs was also driven by a \$4.5 million increase in compensation expense related to equity awards, a \$5.4 million increase in outbound shipping costs related to higher sales and domestic supply chain pressure, and a \$5.9 million increase in professional fees, primarily due to the Business Combination and as a result of becoming a public company.

Research and Development Costs

Research and development costs for the year ended December 31, 2021, increased \$4.8 million, or 20.4%, to \$28.3 million compared to \$23.5 million for the year ended December 31, 2020. The increase in research and development costs was primarily due to headcount investments as we continue to pursue product innovation and new products.

Amortization of Intangible Assets

Amortization of intangible assets for the year ended December 31, 2021, increased \$2.9 million, or 26.3%, to \$14.0 million compared to \$11.1 million for the year ended December 31, 2020, due to recent acquisitions.

Acquisition and Restructuring Costs

Acquisition and restructuring costs for the year ended December 31, 2021, increased \$14.0 million to \$23.7 million, which includes \$17.2 million in contingent consideration related to the Simpson acquisition, \$4.8 million in professional fees associated with the eight acquisitions completed in 2021, and \$1.4 million of restructuring costs related to recent acquisitions. Acquisition and restructuring costs for the year ended December 31, 2020, were \$9.7 million, which includes \$2.3 million in professional fees associated with the Simpson, Drake and Detroit Speed acquisitions completed in 2020 and \$3.2 million in restructuring costs incurred with the move of the West Sacramento, CA operations to our Bowling Green, KY facilities.

Related Party Acquisition and Management Fees

Related party acquisition and management fees for the year ended December 31, 2021, were \$25.8 million, of which \$23.3 million represents a fee paid upon the Closing of the Business Combination. Related party acquisition and management fees for the year ended December 31, 2020, were \$6.1 million, which includes \$4.2 million in management fees paid to the Company's former private equity sponsor and \$1.9 million that was attributable to the Drake and Simpson acquisitions,

Operating Income

As a result of factors described above, operating income for the year ended December 31, 2021, decreased \$8.0 million, or 9.3%, to \$77.5 million compared to \$85.5 million for the year ended December 31, 2020.

Change in Fair Value of Warrant Liability

For the year ended December 31, 2021, we recognized a loss of \$32.6 million from the change in fair value of the warrant liability. The warrant liability reflects the fair value of the warrants issued in connection with the Business Combination.

Change in Fair Value of Earn-Out Liability

For the year ended December 31, 2021, we recognized a loss of \$8.9 million from the change in fair value of the earn-out liability. The earn-out liability reflects the fair value of the earn-out shares resulting from the Business Combination.

Loss on Early Extinguishment of Debt

For the year ended December 31, 2021, we recognized a \$13.6 million loss on the early extinguishment of debt. The extinguishment loss includes a write off of \$12.2 million in unamortized debt issuance costs associated with our previous first lien and second lien notes due to the refinancing of our previous credit facility (refer to Note 6, “*Debt*” for further discussion). Additionally, we wrote off \$1.4 million of unamortized debt issuance costs when \$100 million of the net proceeds from the Business Combination were used to reduce the outstanding principal balance of our second lien note.

Interest Expense

Interest expense for the year ended December 31, 2021, decreased \$4.7 million, or 10.6%, to \$39.1 million compared to \$43.8 million for the year ended December 31, 2020, due to a lower effective interest rate combine with the favorable impact of the \$100 million paydown on our second lien note in July 2021.

Income (Loss) before Income Taxes

As a result of factors described above, we recognized a loss of \$(16.7) million before income taxes for the year ended December 31, 2021, compared to income before income taxes of \$41.7 million for the year ended December 31, 2020.

Income Tax Expense

We recognized income tax expense of \$10.4 million for the year ended December 31, 2021, compared to \$8.8 million for the year ended December 31, 2020. We recognized tax expense on a net loss for the year ended December 31, 2021, due to permanent differences resulting from the Business Combination, change in fair value of the warrant and earn-out liabilities, and the adjustment to the Simpson earnout during the period.

Net Income (Loss) and Total Comprehensive Income (Loss)

As a result of factors described above, we recognized a net loss of \$(27.1) million for the year ended December 31, 2021, compared to net income of \$32.9 million for the year ended December 31, 2020. Additionally, we recognized total comprehensive loss of \$(26.7) million for the year ended December 31, 2021, compared to total comprehensive income of \$32.6 million for the year ended December 31, 2020. Comprehensive income (loss) includes the effect of foreign currency translation and pension liability adjustments.

Non-GAAP Financial Measures

Holley believes EBITDA and Adjusted EBITDA are useful to investors in evaluating the Company's financial performance. In addition, Holley uses these measures internally to establish forecasts, budgets and operational goals to manage and monitor its business. Holley believes that these non-GAAP financial measures help to depict a more realistic representation of the performance of the underlying business, enabling the Company to evaluate and plan more effectively for the future. Holley believes that investors should have access to the same set of tools that its management uses in analyzing operating results.

Holley defines EBITDA as earnings before (a) depreciation, (b) amortization of intangible assets, (c) interest expense, and (d) income tax expense. Holley defines Adjusted EBITDA as EBITDA plus (i) acquisition and restructuring costs, which for 2021 includes a \$17.2 million adjustment due to a change in the fair value of the Simpson acquisition contingent consideration payable, (ii) impairment of indefinite-lived intangible assets, (iii) changes in the fair value of the warrant liability, (iv) changes in the fair value of the earn-out liability, (v) compensation expense related to equity awards, (vi) product rationalization initiatives aimed at eliminating unprofitable or slow-moving stock keeping units, (vii) loss on the early extinguishment of debt (viii) related party acquisition and management fee costs, (ix) notable items that consist primarily of non-cash adjustments related to the adoption of ASC Topic 842, "Leases," in 2022, amortization of the fair market value increase in inventory due to acquisitions in 2021, and the amortization of the fair market value increase in inventory due to acquisitions and a legal settlement in 2020, and (x) other expenses, which for 2022 includes a \$1.0 million loss on the sale of a business (see Note 2, "Business Combination, Acquisitions, and Divestiture," in the Notes to the Consolidated Financial Statements included elsewhere in this Annual Report on Form 10-K for additional information related to the divestiture) and for all periods includes net losses from disposal of fixed assets and foreign currency transactions. We have included within the definition of Adjusted EBITDA impairment of indefinite-lived intangible assets, changes in the fair value of warrant liabilities, changes in the fair value of the earn-out liability, and losses from the early extinguishment of debt, as management believes such matters, when they occur, do not directly reflect the performance of the underlying business.

EBITDA and Adjusted EBITDA are not prepared in accordance with accounting principles generally accepted in the United States ("GAAP") and may be different from non-GAAP financial measures used by other companies. These measures should not be considered as measures of financial performance under GAAP, and the items excluded from or included in these metrics are significant components in understanding and assessing Holley's financial performance. These metrics should not be considered as alternatives to net income (loss) or any other performance measures derived in accordance with GAAP.

The following unaudited table presents the reconciliation of net income (loss), the most directly comparable GAAP measure, to EBITDA and Adjusted EBITDA for the years ended December 31, 2022, 2021 and 2020 (dollars in thousands):

	For the years ended December 31,		
	2022	2021	2020
Net income (loss)	\$ 73,774	\$ (27,139)	\$ 32,857
Adjustments:			
Depreciation	10,107	11,527	7,886
Amortization of intangible assets	14,683	13,999	11,082
Interest expense	40,227	39,128	43,772
Income tax expense	4,493	10,429	8,826
EBITDA	143,284	47,944	104,423
Acquisition and restructuring costs	4,513	23,668	9,743
Impairment of indefinite-lived intangible assets	2,395	—	—
Change in fair value of warrant liability	(57,021)	32,580	—
Change in fair value of earn-out liability	(10,731)	8,875	—
Equity-based compensation expense	24,395	4,963	487
Product rationalization	4,519	—	—
Loss on early extinguishment of debt	—	13,650	—
Related party acquisition and management fee costs	—	25,789	6,089
Notable items	1,838	11,270	3,891
Other expense	1,514	755	1,517
Adjusted EBITDA	\$ 114,706	\$ 169,494	\$ 126,150

Liquidity and Capital Resources

Holley's primary cash needs are to support working capital, capital expenditures, acquisitions, and debt repayments. The Company has generally financed its historical needs with operating cash flows, capital contributions and borrowings under its credit facilities. These sources of liquidity may be impacted by various factors, including demand for Holley's products, investments made in acquired businesses, plant and equipment and other capital expenditures, and expenditures on general infrastructure and information technology.

On December 31, 2022, the Company had cash of \$26.2 million and availability of \$113.8 million under its revolving credit facility. The Company has a senior secured revolving credit facility with \$125 million in borrowing capacity. On December 31, 2022, the Company had \$10.0 million in borrowings and \$1.2 million of letters of credit outstanding under the revolving credit facility. In February 2023, the Company entered into an amendment to its Credit Agreement which, among other things, contains a minimum liquidity financial covenant of \$45 million, which includes unrestricted cash and any available borrowing capacity under the revolving credit facility. The amendment also increases the consolidated net leverage ratio financial covenant level applicable under the Credit Agreement as of the fiscal quarter ending March 31, 2023 through the fiscal quarter ending March 31, 2024 (the "Covenant Relief Period"), to initially 7.25:1.00, and provides for modified step-down levels for such covenant thereafter.

The Company is obligated under various operating leases for facilities, equipment, and automobiles with estimated lease payments of approximately \$7.2 million, including short-term leases, due in fiscal year 2023. See Note 14, "*Lease Commitments*" in the Notes to the Consolidated Financial Statements included elsewhere in this Annual Report on Form 10-K for additional information related to the Company's lease obligations.

Holley's capital expenditures for the year ended December 31, 2022 of \$13.6 million are primarily related to ongoing maintenance and improvements, including investments related to upgrading and maintaining our information technology systems, tooling for new products, vehicles for product development, and machinery and equipment for operations. We expect capital expenditures in the range of \$10 million to \$15 million in fiscal year 2023.

See Note 6, "*Debt*" in the Notes to the Consolidated Financial Statements included elsewhere in this Annual Report on Form 10-K for further detail of our credit facility and the timing of principal maturities. On December 31, 2022, based on the then current weighted average interest rate of 8.4%, expected interest payments associated with outstanding debt totaled approximately \$55.7 million for fiscal year 2023.

As discussed under "Business Environment" above, although the future impact of supply chain disruptions and inflationary pressures are highly uncertain, the Company believes that its current operating performance, operating plan, cash position, and borrowings available under its revolving credit facility will be sufficient to satisfy its liquidity needs and capital expenditure requirements for at least the next twelve months and thereafter for the foreseeable future.

Cash Flows

The following table provides a summary of cash flows from operating, investing, and financing activities for the periods presented (dollars in thousands):

	For the years ended December 31,		
	2022	2021	2020
Cash flows provided by operating activities	\$ 12,312	\$ 21,583	\$ 88,413
Cash flows used in investing activities	(25,037)	(134,089)	(165,618)
Cash flows provided by financing activities	2,850	77,157	140,544
Effect of foreign currency rate fluctuations on cash	(300)	—	—
Net decrease in cash and cash equivalents	<u>\$ (10,175)</u>	<u>\$ (35,349)</u>	<u>\$ 63,339</u>